Leverages.

SALES

less: variable cost

Contribution

less: fixed cost

EBIT

less: Interest

EBT

① Degree of operating leverage

$$= \frac{\text{Contribution}}{\text{EBIT}}$$

② Degree of financial leverage

$$= \frac{\text{EBIT}}{\text{EBT}}$$

③ Degree of combined leverage

$$= \frac{\text{Contribution}}{\text{EBT}}$$

Q) Following is the cost information

fixed cost - 50,000

Variable cost - 70% of sales

Sales - a) 2,00,000 b) 2,50,000

find operating leverage, financial leverage, combined leverage

interest is 10% of ₹10,000

Particulars		
Sales	2,00,000	2,50,000
(-) VC	1,40,000	1,75,000
Contribution	60,000	75,000
(-) F-C	50,000	50,000
EBIT	10,000	25,000
less: Interest	1,000	1,000
EBT	9,000	24,000

(i) Operating leverage

$$\frac{\text{Contribution}}{\text{EBIT}} = \text{(i)} \frac{60,000}{10,000} = 6$$

$$\text{(ii)} \frac{75,000}{2,50,000} = 3$$

(ii) Financial leverage

$$\text{(i)} \frac{\text{EBIT}}{\text{EBT}} = \frac{10,000}{9,000} = 1.11$$

$$\text{(ii)} \frac{\text{EBIT}}{\text{EBT}} = \frac{25,000}{24,000} = 1.04$$

(iii) combined leverage

$$\text{(i)} \frac{\text{Contribution}}{\text{EBT}} = \frac{60,000}{9000} = 6.67$$

$$\text{(ii)} \frac{\text{Contribution}}{\text{EBT}} = \frac{75,000}{24,000} = 3.125$$

2) Sales = 10,00,000, VC = 40% of sales

fixed operating cost = 3,00,000

Interest = 1,00,000

Calculate DOL, DFL, DCL

What is the impact if the sales are increased by 5%.

Particulars	(i)	(ii)
Sales	10,00,000	10,50,000
less: VC	4,00,000	4,20,000
Contribution	6,00,000	6,30,000
less: F.C	3,00,000	3,00,000
EBIT	3,00,000	3,30,000
less: Interest	1,00,000	1,00,000
EBT	2,00,000	2,30,000

$$DOL = \frac{C}{EBIT} = \frac{6,00,000}{3,00,000} = 2 \qquad \frac{6,30,000}{3,30,000} = 1.9$$

$$DFL = \frac{EBIT}{EBT} = \frac{3,00,000}{2,00,000} = 1.5 \qquad \frac{3,30,000}{2,30,000} = 1.4$$

$$DCL = \frac{C}{EBT} = \frac{6,00,000}{2,00,000} = 3 \qquad \frac{6,30,000}{2,30,000} = 2.7$$